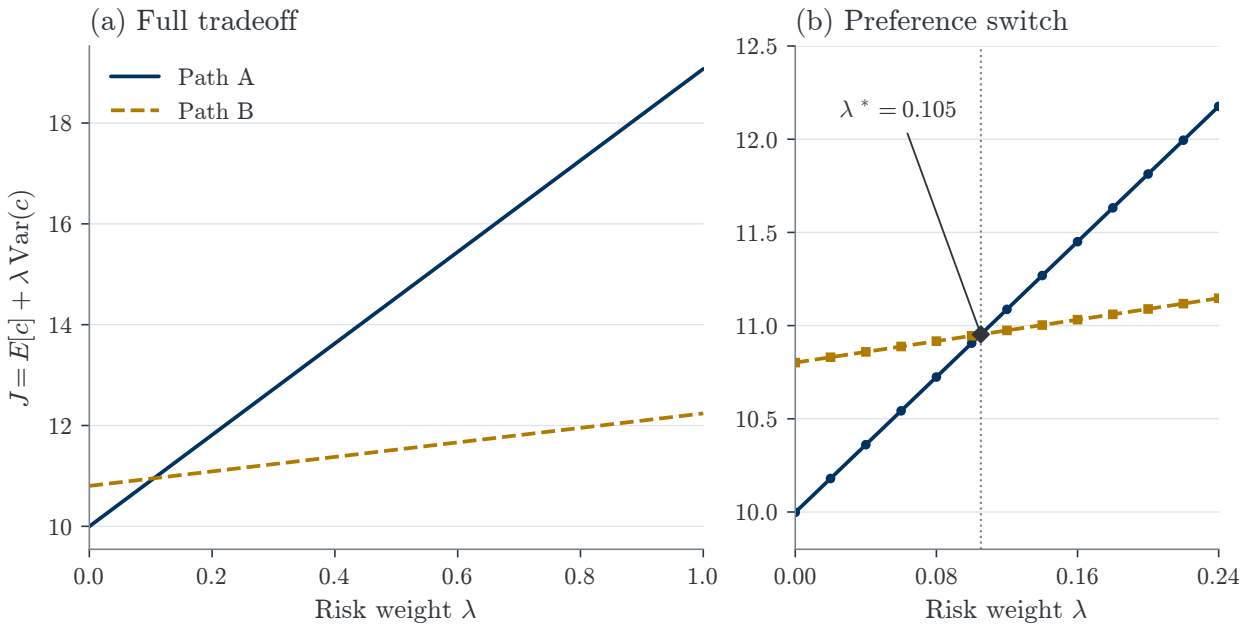
(a) Full tradeoff
Path A
Path B
$J = E[c] + \lambda \mathrm{Var}(c)$
18
16
14
12
10
0.0
0.2
0.4
0.6
0.8
1.0
Risk weight λ
(b) Preference switch
$\lambda^* = 0.105$
12.5
12.0
11.5
11.0
10.5
10.0
0.00
0.08
0.16
0.24
Risk weight λ